



SASINI LIMITED

SASINI HOUSE, LOITA STREET,P.O. BOX 30151-00100, NAIROBI
(A Member of The Sameer Group)

ANNOUNCEMENT OF RESULTS FOR THE SIX MONTHS ENDED 31 MARCH 2016 (Unaudited)

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	Group		Company	
	31.03.2016 Ksh '000	31.03.2015 Ksh '000	31.03.2016 Ksh '000	31.03.2015 Ksh '000
Revenue	1,587,013	1,268,315	351,079	329,370
Gains/(Losses) arising from changes in fair value of biological assets less cost to sell	449,199	(59,102)	133,464	45,041
Results from operating activities	682,382	(138,810)	245,093	77,024
Finance income	48,062	12,468	16,472	9,977
Finance cost	15,683	(5,082)	(2,228)	(4,301)
Profit before tax	746,127	(131,424)	259,337	82,700
Tax expense	(223,838)	39,427	(77,801)	(24,810)
Profit for the period	522,288	(91,997)	181,536	57,890
Profit attributable to:				
Non-controlling interest.	8,256	2,958	0	0
Owners of parent	514,033	(94,955)	181,536	57,890
	522,288	(91,997)	181,536	57,890
Profit / (losses) arising from operating activities.	197,016	(51,897)	88,111	26,362
Gains arising from changes in fair value in biological assets after tax.	317,017	(43,058)	93,425	31,528
	514,033	(94,955)	181,536	57,890
Earning per share (Kshs) on operating activities	0.86	(0.23)	0.39	0.12
Earning per share (Kshs) on biological assets	1.39	(0.19)	0.41	0.14
Earning per share (Kshs)	2.25	(0)	0.80	0.25
Issued and fully paid shares of Kshs 1 each	228,055	228,055	228,055	228,055

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Defined Benefit Reserves Ksh '000	Biological Assets Fair Value Ksh '000	Retained Earnings Ksh '000	Proposed Dividends Ksh '000	Non Controlling Interest Ksh '000	Total Ksh '000
At 1 October 2014	228,055	98,530	7,337,072	17,954	2,769,893	1,370,695	57,014	241,755	12,120,968
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	(94,955)	-	2,958	(91,997)
Appropriation of gains on biological assets	-	-	-	-	(43,058)	43,058	-	-	-
	-	-	-	-	-	-	-	-	-
Total comprehensive income for the period	228,055	98,530	7,337,072	17,954	2,726,835	1,318,798	57,014	244,713	12,028,971
Transactions with owners of the company recorded directly in equity									
Total distribution to owners of the company At 31 March 2015	-	-	-	-	-	-	(57,014)	-	(57,014)
	228,055	98,530	7,337,072	17,954	2,726,835	1,318,798	-	244,713	11,971,957
At 1 October 2015	228,055	98,530	7,887,974	50,520	2,702,081	2,144,228	57,014	390,103	13,558,505
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	514,033	-	8,256	522,289
Appropriation of gains on biological assets	-	-	-	-	317,017	(317,017)	-	-	-
	-	-	-	-	-	-	-	-	-
Total comprehensive income for the period	228,055	98,530	7,887,974	50,520	3,019,098	2,341,244	57,014	398,359	14,080,794
Transactions with owners of the company recorded directly in equity									
Final dividend for 2015 paid	-	-	-	-	-	-	(57,014)	-	(57,014)
Interim dividend for 2016	-	-	-	-	-	(57,014)	57,014	-	-
Total distribution to owners of the company At 31 March 2016	-	-	-	-	-	(57,014)	-	-	(57,014)
	228,055	98,530	7,887,974	50,520	3,019,098	2,284,230	57,014	398,359	14,023,780

COMPANY STATEMENT OF CHANGES IN EQUITY

	Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Defined Benefit Reserves Ksh '000	Biological Assets Fair Value Ksh '000	Retained Earnings Ksh '000	Proposed Dividends Ksh '000	Non Controlling Interest Ksh '000	Total Ksh '000
At 1 October 2014	228,055	40,594	5,508,889	1,714	1,247,109	342,820	57,014	-	7,426,195
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	57,890	-	-	57,890
Appropriation of gains on biological assets	-	-	-	-	(31,528)	31,528	-	-	-
Excess depreciation on revaluation	-	-	-	-	-	-	-	-	-
Total comprehensive income for the period	228,055	40,594	5,508,889	1,714	1,215,581	432,238	57,014	-	7,484,085
Transactions with owners of the company recorded directly in equity									
Total distribution to owners of the company At 31 March 2015	-	-	-	-	-	-	-	-	-
	228,055	40,594	5,508,889	1,714	1,215,581	432,238	57,014	-	7,484,085
At 1 October 2015	228,055	40,594	5,678,118	5,456	1,179,161	629,903	57,014	-	7,818,301
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	181,536	-	-	181,536
Appropriation of gains on biological assets	-	-	-	-	93,425	(93,425)	-	-	-
Excess depreciation on revaluation	-	-	-	-	-	-	-	-	-
Total comprehensive income for the period	228,055	40,594	5,678,118	5,456	1,272,586	718,014	57,014	-	7,999,837
Transactions with owners of the company recorded directly in equity									
Final dividend for 2015 paid	-	-	-	-	-	-	(57,014)	-	(57,014)
Interim dividend for 2016	-	-	-	-	-	(57,014)	57,014	-	-
Total distribution to owners of the company At 31 March 2016	-	-	-	-	-	(57,014)	-	-	(57,014)
	228,055	40,594	5,678,118	5,456	1,272,586	661,000	57,014	-	7,942,823

CONSOLIDATED STATEMENT OF FINANCIAL POSITION.

	Group		Company	
	31.03.2016 Ksh '000	30.09.2015 Ksh '000	31.03.2016 Ksh '000	30.09.2015 Ksh '000
ASSETS				
NON-CURRENT ASSETS				
Property, plant and equipment	8,713,751	8,770,714	5,982,936	6,003,214
Capital Work-in-progress	-	33,358	-	-
Intangible Assets	8,072	8,393	5,534	5,855
Biological Assets	5,527,349	5,077,329	1,977,062	1,842,777
Prepaid leases - leasehold land	11,174	18,473	454	7,633
Investments in Subsidiary Companies	-	-	172,697	172,697
Available-for-sale financial assets	525	525	-	-
Deferred tax asset	77,070	77,070	-	-
	14,337,941	13,985,862	8,138,683	8,032,176
CURRENT ASSETS				
Inventories	637,611	341,362	357,154	96,595
Trade and Other receivables	951,638	510,106	622,645	205,944
Amount due from related companies	-	1,209	-	31,429
Tax recoverable	-	5,474	-	-
Cash and Bank balances	1,644,733	1,200,514	457,931	317,023
	3,233,982	2,058,665	1,437,730	650,991
TOTAL ASSETS	17,571,923	16,044,527	9,576,413	8,683,167
EQUITY AND LIABILITIES				
Capital and reserves				
Share Capital	228,055	228,055	228,055	228,055
Non - Distributable Reserves	11,056,122	10,739,105	6,996,754	6,903,329
Distributable Reserves	2,341,244	2,201,242	718,014	686,917
	13,625,421	13,168,402	7,942,823	7,818,301
Non controlling Interest	398,359	390,103	-	-
Total equity	14,023,780	13,558,505	7,942,823	7,818,301
Non- current liabilities				
Deferred tax liability	1,967,051	1,801,496	671,781	671,781
Post employment benefits	220,086	216,814	15,296	15,113
	2,187,137	2,018,310	687,077	686,894
Current liabilities				
Bank loan	70,478	-	70,478	-
Post employment benefits	28,596	28,596	3,208	3,208
Amounts due to related companies	-	1,082	-	49,499
Trade and Other Payables	1,194,754	429,139	793,623	123,862
Tax payable	67,178	8,895	79,204	1,403
	1,361,006	467,712	946,513	177,972
TOTAL EQUITY AND LIABILITIES	17,571,923	16,044,527	9,576,413	8,683,167
CONSOLIDATED CASHFLOW STATEMENT				
OPERATING ACTIVITIES				
Cash Flow Generated from Operations	484,345	281,367	270,089	472,554
Tax Paid	(31,743)	(153,225)	(8,826)	(50,091)
Net cash flows (used in) generated from operating activities	452,602	128,142	261,263	422,463
INVESTING ACTIVITIES				
Purchase of Property, plant and equipment	(88,542)	(21,795)	(151,903)	(14,145)
Purchase of Intangible Assets	-	(3,434)	-	(2,039)
Capital Work in progress	-	(13,249)	-	-
Interest received	70,445	44,222	16,641	16
Proceeds on sale of property, plant and equipment	-	1,061,282	-	57,640
Net cash flow used in investing activities	(18,097)	1,067,026	(135,262)	41,472
FINANCING ACTIVITIES				
Interest paid	(2,228)	(6,986)	(2,228)	(6,986)
Proceeds from bank loans	124,464	-	124,464	-
Loans repayments	(53,985)	(53,985)	-	-
Dividend paid on ordinary shares	(57,014)	(315,069)	(57,014)	(285,069)
Net cash flow used in financing activities	11,237	(322,055)	11,237	(292,055)
Net (Decrease) /Increase in Cash and cash equivalents	445,742	873,113	137,238	171,880
Cash and cash equivalents at the beginning of the period	1,200,514	325,865	317,023	144,813
Net foreign exchange rate gains /(losses)	(1,523)	1,536	3,670	330
Cash and cash equivalents at the end of the period	1,644,733	1,200,514	457,931	317,023

COMMENTS ON THE RESULTS (UNAUDITED) FOR THE SIX MONTH PERIOD ENDED 31st MARCH, 2016

The results for the half-year period ended 31st March, 2016 indicate an increase in profitability in operating activities to a profit after tax and minority interest of Kshs. 197.0 million compared to a loss of Kshs.51.9 million in the same period in the previous year.

The performance recorded over this period was attributed to good weather which led to higher production volumes, especially in the tea division. Tea prices were also higher than in the previous year. An aggressive marketing strategy adopted by the coffee division increased sales through which a positive contribution to performance was made; although coffee prices at the coffee auction were marginally lower, most coffee sold through direct contract sales attracted much higher prices. Higher interest income from fixed deposits also contributed to the profitability.

The collapse of selling prices, both for tea and coffee, in the past two months paints a poor picture for the next half. Should this trend persist in the next few months, the gains made in the first half may be eroded. Management remains proactive and is already working on measures to mitigate against this possibility.

The net gains from changes in the valuation of biological assets of Kshs.317 million for the period was driven mainly by the considerable gain in production volumes in tea and the higher realization in tea prices.

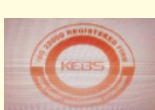
Dividend

In view of the profit to date, the Board recommends the payment of an interim dividend of 25% for the period ended 31st March 2016, payable less withholding tax, where applicable, on or about 4th July 2016, to the members on the register at close of business on 20th June 2016. The register will be closed for one day, on 21st June 2016.

Dr. J.B. McFie PhD
Chairman
24th May, 2016

Certifications

ISO 22000: 2005 Certified
Rainforest Alliance Certification
Flo Cert Certification
C.A.F.E. Practices
UTZ KAPEH Certification



Savanna The Coffee Lounge now open at:-
- Sasini House, Loita Street
- Upper Hill next to General Accident House
- Sameer Business Park